

ECONOMY — Banking, Monetary Policy & Financial System

Batch 5 of 10 · Sources: Parmar Ch.6 (Banking Pt.1) + Ch.7 (Monetary Policy) + Ch.8 (Banking Pt.2) + Lucent §9 (Indian Financial System) + §11 (Money, Banking, Insurance in India) · PYQ buckets "03 Money and Banking" (30 Qs) + "13 National Financial Institutions" (4 Qs) · ★ = tested in a real past SSC paper

1 Reserve Bank of India (RBI) — Parmar Ch.6

Recommended by the **Royal Commission on Indian Currency & Finance**, chaired by **Hilton Young, 1926**. Established under the **RBI Act, 1934**; began operations **1 April 1935, Calcutta**; **nationalised 1 Jan 1949**; HQ moved to **Mumbai, 1937**. First Governor: **Sir Osborne Smith**; first Indian Governor: **Sir C.D. Deshmukh**. RBI's emblem features a tiger and a palm tree.

HOOK RBI Governors' chronology ★: Dr. Y.V. Reddy (2003-08) → Dr. D. Subbarao (2008-13) → [Raghuram Rajan/Urjit Patel gap] → Dr. Urjit R. Patel (2016-18) → [Shaktikanta Das] → Shri Sanjay Malhotra (2024/25-present, per Lucent's "as on 29.05.2025" table) ★ — a tested chronological-ordering question.

Central Board of Directors — apex governing body under RBI Act 1934, appointed by GOI for 4 years. Comprises: the Governor (Chairperson), 4 full-time Deputy Governors, 10 non-official directors from various fields, 2 Government of India officials (Ministry of Finance), 4 directors representing the Local Boards. Banking Ombudsman scheme introduced by RBI in 1995; Fixed Rate Repo announced by Govt in 1997.

Lead Bank Scheme ★ — launched by RBI, **December 1969** ★; assigns one specific public/private bank to lead banking-and-credit development in a district, promoting an **"Area Approach"** to rural credit, financial inclusion and priority sector lending.

Functions of RBI: (1) **Regulator of Banks** under the Banking Regulation Act 1949 — "Bank of Banks"; grants banking licences, regulates CRR/SLR, influences interest rates via repo rate. (2) **Monetary Authority** — formulates/implements monetary policy to control inflation, manage money supply, ensure credit flow. (3) **Currency Printing** — prints/manages banknotes (except ₹1 note and coins, issued by Ministry of Finance). (4) **"Lender of Last Resort"** — final funding source for commercial banks in a crisis. Currency is printed at Nasik, Dewas, Mysore, Salboni; coins minted at Mumbai, Hyderabad, Calcutta, Noida.

The **Bimal Jalan Committee (2018-19)**, appointed by RBI, recommended a new Economic Capital Framework (ECF) enabling transfer of surplus reserves to govt while maintaining a Contingency Risk Buffer (CRB) of 5.5%–6.5% of RBI's balance sheet.

2 Banking Reforms — Narasimham Committees

Committee	Focus	Key recommendations
Narasimham-I (1991) ★	Banking sector reforms & liberalisation	↓ SLR/CRR to improve liquidity; prudential norms ★ for income recognition/asset classification/provisioning; capital adequacy norms (Basel-aligned); greater bank autonomy, less govt interference; competitive/efficient banking; entry of private sector banks ★ (encouraged, not restricted — tested distractor)
Narasimham-II (1998) ★	Strengthening reforms & global competitiveness	↓ NPAs; strengthened banking supervision/regulation; consolidation/merger of banks ★ for strong global banks; Asset Reconstruction Funds/Companies (ARCs) ★ for bad loans; stronger capital adequacy & risk management; recommended a 3-tier banking structure

HOOK **Board for Financial Supervision (BFS)** ★ (PYQ-book-only, see A.2) — established within RBI in **1994**, post-1991 reforms, to supervise banks/FIs/NBFCs for financial stability (not NABARD, SAT, or MSME Credit Bureau — tested distractors).

3 Types of Money, Clean Note Policy & Banking Classification

Type	Meaning
Fiat Money ★	Govt-declared legal tender, issued by central bank, NOT backed by gold/silver ★
Fiduciary Money	Accepted via mutual trust between payer/payee — e.g. cheques, tokens/bitcoins
Plastic Money	Electronic money via debit/credit/prepaid cards
Hot Money	Funds investors quickly move across countries/markets for short-term gains (stocks, deposits, bonds)

Clean Note Policy — introduced by RBI in **1999**, under Section 35A of the Banking Regulation Act 1949; banks must not pass soiled/torn/scribbled notes to customers and must deposit them with RBI instead. Per RBI Act 1934, banking is classified as: **Scheduled Banks** (Commercial → for-profit → Public Sector [12 Nationalised Banks, as printed] / Private Sector [Indian e.g. HDFC/Kotak; Foreign e.g. Citigroup/HSBC]) and **Non-Scheduled Banks** (Cooperative → non-profit, "depositors are owners"). SBI was the only nationalised bank until **14 banks** (deposits >₹50 crore) were nationalised via **The Banking Companies (Acquisition & Transfer of Undertaking) Act, 1969**; later **6 banks** (Andhra Bank, Corporation Bank, New Bank of India, Oriental Bank of Commerce, Punjab & Sind Bank, Vijaya Bank) nationalised via the 1980 Act (deposits >₹200 crore).

HOOK Bank nationalisation, **19 July 1969 ★** — 14 major private banks nationalised to extend rural banking, ensure agri/small-industry credit, reduce private monopoly ★.

History of Banking System in India

Bank of Hindustan — first bank, established **1770, Calcutta**. Three Presidency Banks during British rule — Bank of Calcutta (1806), Bank of Bombay (1840), Bank of Madras (1843) — merged into a single **Imperial Bank of India in 1921**, later nationalised and renamed **State Bank of India, 1955**. First Indian-owned bank: **Allahabad Bank, 1865**. **Regional Rural Banks (RRB)** established as a statutory body under RRB Act 1976 for rural financial activities (e.g. Grameen Banks); **Pratham Grameen Bank** set up **2 October 1975, Moradabad, UP** (India's first RRB).

RRB ownership: Central Govt 50% (largest stakeholder), sponsor commercial bank 35%, State Govt 15%; supervised by NABARD, regulated by RBI; set up on Narasimham Committee on Rural Credit recommendations. RRB consolidation began 2005 following the **Dr. Vyas Committee (2001)**. The **Kelkar Committee (1986)** recommended strengthening RRBs — raising authorised capital to ₹5 crore, paid-up capital to ₹1 crore, directing surplus into profitable investments, and merging weak RRBs.

Functions of Commercial Banks — *Primary*: accepting deposits (savings/current/fixed) and providing loans/advances (cash credit, overdraft, bill discounting). *Secondary*: agency services (cheque collection, bill payment, acting as agent) and general utility services (locker facility, demand drafts, forex, cards, online banking).

4 Other Financial Institutions & Microfinance

Institution	Established	HQ	Role
NABARD	12 July 1982, B. Sivaraman Committee (1979), NABARD Act 1981	Mumbai	Agri/rural growth finance; regulates cooperative banks & RRBs; does NOT deal directly with the public; runs PMAY-Gramin, KCC, RuPay Kisan Cards; 2015 launched E-Shakti & LEDP (Livelihood and Enterprise Development Program)
National Housing Bank	1988, Act of 1987	New Delhi	Housing finance
SIDBI	2 April 1990	Lucknow	MSME finance
SEBI ★	Statutory body 12 Apr 1988, SEBI Act 1992	Mumbai; Chairman: Tuhin Kanta Pandey	Safeguards investor interests in the securities market

IRDAI ★	Statutory body Apr 2000, IRDAI Act 1999	Hyderabad	Protects policyholders' interests ★ — insurance-sector regulator (not stock market/disinvestment/foreign trade — tested distractors); based on Malhotra Committee recommendations
NAFED	2 Oct 1958	New Delhi	Apex agricultural-produce marketing cooperative federation
IDBI	1964, GOI subsidiary of RBI; LIC later acquired 51% stake	Mumbai	Industrial development finance

HOOK Insurance-sector reform: **R.N. Malhotra Committee** ★ — constituted **1993** ★, report submitted **1994** ★; recommended opening insurance to private participation, leading to **IRDA Act, 1999** ★.

Microfinance Institutions (MFI) — provide micro-credit/loan/savings/insurance/remittance services to low-income populations; collateral-free microfinance loans to households with income up to ₹3 lakh/annum. **Father of Microfinance: Muhammad Yunus** (2006 Nobel Peace Prize, creator of Grameen Bank). **First MFI in India: Self Employed Women Association (SEWA) Bank**, Ahmedabad, 1974.

Self Help Groups (SHG): 10–20 BPL people forming a group; provide collateral-free loans at lower interest than the informal sector; empower women/marginalised groups. **Joint Liability Groups (JLG)**: 4–10 people forming a group to jointly apply for a bank loan; offered to individuals, tenant farmers, sharecroppers, small/marginal farmers — collateral-free.

Pradhan Mantri Mudra Yojana (PMMY) — promotes financial inclusion via micro-credit/loans to small businesses: **Shishu** (up to ₹50,000), **Kishor** (₹50,000–5 lakh), **Tarun** (₹5–10 lakh), **Tarun Plus** (₹10–20 lakh). MUDRA (Micro Units Development & Refinance Agency Ltd.) launched **8 April 2015**, receives 100% funding from SIDBI.

NBFCs (Non-Banking Financial Companies/Institutions) — offer banking-like services without a banking licence; registered under the Companies Act 1956, regulated by RBI under RBI Act 1934; cannot accept demand deposits or issue cheques; provide Gold Loans; deposits NOT government-guaranteed; not required to maintain CRR/SLR. **NBFC-MFI** — registered and regulated by RBI, provide micro loans/financial services to low-income rural individuals; established on **Malegam Committee (2010)** recommendations. RBI cap: non-NBFC-MFI entities' microfinance-loan limit is 25% of total assets; to qualify as NBFC-MFI, 75% of total assets must be microfinance loans (revised 2022, was earlier 85%).

Capital requirements for NBFC-MFI: minimum Net Owned Fund (NOF) — General (all-India) ₹5 crore; North-East Region ₹2 crore (lower, to encourage financial inclusion). **Payment & Settlement Systems Act, 2007** — all payment systems (UPI, NEFT, RTGS, Credit Cards) regulated by RBI under this Act.

Priority Sector Lending (PSL): Commercial Banks (domestic & foreign) must allocate **40% of ANBC** (Adjusted Net Bank Credit) to PSL; RRBs & Small Finance Banks — 75% of ANBC; NBFCs generally have no specific PSL targets. Sub-targets: Agriculture 18%, Weaker Sections (SC/ST/Women) 12%. Shortfalls go to the **Rural Infrastructure Development Fund (RIDF)**, managed by NABARD. **Urban Cooperative Banks (UCBs)** operate under both RBI and the Registrar of Cooperative Societies (RCS).

5 Monetary Policy — Parmar Ch.7

Monetary policy = RBI's regulation of money supply and interest rates to maintain price stability, control inflation, ensure growth, using **quantitative** and **qualitative** instruments.

Balance Sheet: Liabilities = Deposits (Demand Deposits: savings/current accounts; Time/Term Deposits: FDs/RDs); Assets = Loans granted by the bank. **Net Demand and Time Liability (NDTL)** = total deposits determining lendable funds and reserve requirements: Demand Liabilities (withdrawable anytime — savings/current) and Time Liabilities (fixed tenure — FDs/RDs).

Cash Reserve Ratio (CRR)	Statutory Liquidity Ratio (SLR) ★
Kept in cash with the RBI; no interest earned	Kept in liquid assets — cash, gold, or approved securities ★; interest earned

TRAP ↑CRR/SLR **reduces** banks' lending capacity ★ (they must set aside more, less left to lend) — NOT increase it (a tested Assertion-Reason flips this).

Monetary Policy Committee (MPC) — established on **Urjit Patel Committee** recommendations; **6 members**: 3 from RBI (Governor as Chairman, Deputy Governor, an Executive) + 3 from Govt of India; meets bimonthly to decide repo rate/CRR changes.

Monetary Policy Tools

Quantitative Tools — influence overall money supply/credit:

1. **CRR** (see above)
2. **SLR** (see above)
3. **Bank Rate (BR)** — rate at which RBI lends long-term to commercial banks **without collateral**; higher BR → costlier borrowing → ↓ money supply; lower BR → cheaper loans → ↑ liquidity
4. **Open Market Operations (OMO)** — also called **sterilization**: (i) **Outright Purchase** — RBI directly buys govt securities, no repurchase agreement; (ii) **Repurchase Obligation ("Rere")** — banks borrow from RBI using govt securities as collateral with a promise to repurchase = **Repo**; RBI inviting banks to deposit surplus funds against govt securities = **Reverse Repo**. Repo + **SDF (Special Depository Facility)** together = **Liquidity Adjustment Facility (LAF)**. SDF lets banks deposit excess funds with RBI *without any collateral*.
5. **Marginal Standing Facility (MSF)** — emergency overnight borrowing by banks from RBI at a higher rate than repo; penalty for failing to maintain CRR/SLR = **3% above Bank Rate per day of default**; uses G-Secs within the SLR quota; only scheduled commercial banks can access it. **Base Rate** = minimum rate below which banks cannot lend.

If banks can't maintain CRR/SLR, they borrow from other banks via the **Interbank Lending Market** at the **Call Money Rate** (decided on the basis of RRR and MSF) — short-term overnight interbank loans; limit: 2% of NDTL. **MCLR (Marginal Cost of Funds Based Lending Rate)** — minimum lending rate, introduced by RBI in **April 2016**, for transparent/policy-responsive loan pricing. **Money Multiplier (MM)** = $1/CRR$ — highest possible increase in money supply from a change in bank deposits; NBFCs/NBFC-MFIs need not maintain CRR/SLR; ↑CRR → banks hold more reserves, lend less → fewer loans → less money creation → lower multiplier (and vice versa).

Situation	RBI Action	Effect	Policy Stance
Inflation	↑ CRR, SLR, BR, RRR, RR	↓ money supply	Contractionary/Tight/Dear/Hawkish
Deflation	↓ CRR, SLR, BR, RRR, RR	↑ money supply	Expansionary/Easy/Dovish

HOOK **Expansionary Monetary Policy** ★ = central bank cuts rates to stimulate growth/spending during a slowdown (the exact tested term is "expansionary", not contractionary/QE labels). **Debt Monetisation** ★ = RBI directly buys govt bonds/securities to fund the fiscal deficit, printing new currency → raises money supply → often high inflation ★.

Qualitative Monetary Policy Tools — selective control over credit direction: (1) **Changing Margin Requirements** — ↑ margin for non-essential sectors, ↓ for priority sectors like agriculture; (2) **Consumer Credit Regulation** — RBI sets loan-installment/down-payment/repayment rules in advance; (3) **Moral Suasion** — persuasion/implicit threats by RBI to influence bank behaviour; (4) **Credit Rationing** — RBI fixes credit supply per bank and per sector to prevent excessive lending.

Fiscal Policy — government's tax/spending/borrowing strategy to control inflation/deflation, unemployment, growth. To control inflation: ↑ Taxes (lowers disposable income → lowers demand), ↓ Subsidies (raises prices → discourages excess consumption), ↓ MSP (Minimum Support Price — discourages excess crop production, keeps food prices in check). Monetary Policy = RBI's tool; Fiscal Policy = Government's tool.

HOOK Financial intermediaries (banks) transmit MPC's repo-rate changes to the real economy by adjusting their own lending/deposit rates ★ — a directly tested Assertion-Reason (both TRUE, R correctly explains A).

6 Banking Part 2 — Liquidity, Money Functions & Aggregates (Parmar

Ch.8)

Liquidity = ease of converting an asset to cash without losing value; money has the highest liquidity. Liquidity order: **Cash > Gold > Cheque > Bond**; Demand Deposit more liquid than Term Deposit. Money was invented to solve the barter system's problems: **Double Coincidence of Wants, Lack of Divisibility, Lack of Store of Value**.

Functions of Money: *Primary* — Medium of Exchange (buying/selling). *Secondary* — Medium of Value/Unit of Account: (a) Standard of Deferred Payment, (b) Store of Value (money retains value over time, unlike perishables; has no intrinsic value unlike gold; paper money has value from govt backing), (c) Highly Portable and Durable.

HOOK Reasons to hold money ★: **Transaction Motive** (daily spending — groceries, transport, bills), **Precautionary Motive** (emergency expenses — illness, accidents), **Speculative Motive (by J.M. Keynes)** — investment timing, e.g. buying stocks on a dip.

Liquidity Preference Theory ★ = Keynes's theory of demand for money — interest rates are determined by demand/supply of money, not just savings/investment. **Cambridge Cash Balance Approach** ★ — developed by Marshall, Pigou, and Keynes; value of money tied to the demand to hold cash balances (store of value) rather than transaction velocity.

Paradox of Thrift (Keynesian) — individuals increasing savings in a downturn collectively reduces aggregate demand and total economy-wide savings, as lower consumption reduces business revenue and income.

HOOK **Speculative Demand for Money** $\propto 1/\text{Interest Rate}$ — inverse relationship: rates $\uparrow \rightarrow$ people invest in bonds/financial assets, hold less cash $\rightarrow$ speculative demand $\downarrow$; rates $\downarrow \rightarrow$ returns low, hold more cash $\rightarrow$ speculative demand $\uparrow$. "Interest rates are an opportunity cost/'price' of holding money balance in an economy." **Liquidity Trap** ★ = interest rates so low that the liquidity-preference curve's horizontal portion appears — speculative money-demand becomes infinitely/perfectly elastic — monetary policy becomes ineffective.

Types of Money in the Economy & Money Aggregates

1. **Currency in Circulation** — Currency with Banks (daily operations) + Currency with Public (spending money). **CDR (Currency Deposit Ratio)** = Money held by public in currency / Money held by public in deposits.
2. **Deposits with Banks** — Demand Deposits (savings/current, withdrawable anytime) + Term Deposits (FDs/RDs, fixed period).
3. **Deposits with RBI** — Bank Deposits with RBI (CRR, mandatory % of NDTL) + Other Deposits with RBI (govt institutions, foreign central banks, international financial orgs, some private entities).
4. **Postal Deposits** — similar to bank Term/Demand Deposits, managed by the Post Office Savings Bank (POSB).

Aggregate	Components	Alt. name ★
M0	Currency in circulation + Banker's deposits with RBI	High-Powered/Base/Reserve Money ★ — total money printed by RBI
M1 ★	Currency with public + other RBI deposits + Demand Deposits	Narrow Money ★
M2	M1 + Post Office savings deposits	—
M3 ★	M1 + Net time deposits of commercial banks	Broad Money ★ / Aggregate Monetary Resource
M4	M3 + Total Post Office deposits	—

Reserve Money ("does NOT include") ★ — M0 is also called Central Bank Money, Base Money, High-Powered Money; **"Savings Money" is NOT a synonym** ★.

The **Interbank Offer Rate ("Offer Rate")** — rate banks lend to each other for short-term needs (e.g. meeting CRR requirements). **LIBOR (London Interbank Offer Rate)** served as a global base rate for loans/mortgages; discontinued after 31 Dec 2021, replaced by **SOFR** for USD. **MIBOR (Mumbai**

Interbank Offer Rate) = India's LIBOR equivalent; replaced by **FBIL-Overnight MIBOR in 2015**. Asia's oldest stock exchange: **Bombay Stock Exchange, established 1875**.

Money Market, Capital Market & Assets Classification

Money Market (short-term loans, <1 year): **Call Money** — repaid within 1 day; **Notice Money** — repaid in 2–14 days. **Capital Market** (long-term loans, >1 year): stocks/bonds for long-term investment.

Treasury Bills (issued by GOI through RBI) — also called **Zero Coupon Securities**; issued in 3 tenures (91/182/364 days); classified as money-market instruments (maturity <1 year); always issued at a discount, no interest paid.

Assets classification: Regular Assets — generate consistent returns, interest+principal repaid on time. **Stressed Assets** — non/potentially-non-performing, overdue <90 days. **Non-Performing Assets (NPAs)** — overdue >90 days: **Substandard** (>90 days but <12 months), **Doubtful** (>12 months), **Loss Assets** (uncollectible). **Wilful Defaulter** — has capacity to repay but deliberately doesn't. **Bad Bank** — a specialised entity handling NPAs, buying them and recovering value; 2021 Budget announced two bad banks: **National Asset Reconstruction Company Limited (NARCL)** and **India Debt Resolution Company Limited (IDRCL)**.

SARFAESI Act, 2002 (Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act) — lets banks seize defaulters' properties. **Insolvency and Bankruptcy Code (IBC), 2016** — resolves the **Twin Balance Sheet Problem** (stressed banks + stressed corporates) via the **Corporate Insolvency Resolution Process (CIRP)**; moratorium ("calm period") of 180 days (extendable to 270 days). Governing bodies: **NCLT** (initial insolvency cases) and **NCLAT** (appeals against NCLT decisions).

International Banking Regulations — Basel Norms

Accord	Year	Key point
Basel-I	Introduced 1988 (India adopted 1999)	Focus: credit risk; minimum capital = 8% of Risk Weighted Assets (RWA)
Basel-II	2004	Introduced CAR/CRAR (Capital Adequacy/Capital to Risk-Weighted Assets Ratio) = $(\text{Tier1 Capital} + \text{Tier2 Capital}) / \text{RWA} \times 100$
Basel-III	2010	CAR to be maintained at 10.5% (Tier-1/Core 6% + Tier-2/Supplementary 2% + Capital Conservation Buffer 2.5%); India's RBI-mandated CAR = 11.5%

Basel Norms/Accords established by Central Bank Governors of the G-10 countries in 1974; HQ at the BIS (Bank for International Settlements, printed as "Bureau of International Settlement") office, Basel, Switzerland; issued by the Basel Committee on Bank Supervision (BCBS).

7 Lucent §9 — Indian Financial System

The Indian Financial System channels funds between demand side (individual investors, businesses, government) and supply side (banks, insurance companies, mutual funds, other financial institutions). It has two parts: the **Indian money market** (short-term funds) and the **Indian capital market** (medium/long-term funds); performs a crucial role in economic development via saving-investment (capital formation).

Classified into: (1) Industrial finance, (2) Agricultural finance, (3) Development finance, (4) Government finance. **Devaluation** = lowering the local currency's official value vs. foreign currency/gold. **Balance of Payments (BoP)** = systematic record of all economic transactions between a country and the rest of the world, divided into current account and capital account. **Balance of Trade (BoT)** = value of exports – value of imports (goods only, services excluded). **EXIM Policy 2000-01** introduced the SEZ Scheme. In **1994-95** the Indian Rupee was made fully convertible on the current account. **Fiscal Policy** = policy on public revenue, expenditure and allied matters.

Indian money market: **organised sector** (RBI at apex + Public/Private/Foreign Sector Banks + other financial institutions) and **unorganised sector** (indigenous bankers + NBFCs).

RBI — established under the RBI Act 1934, **1 April 1935**, with capital of ₹5 crore; nationalised **1 January 1949** on the recommendation of a **Parliamentary Committee (1948)**; is the supreme monetary/banking authority, keeps commercial banks' reserves; its financial year runs 1 July–30 June (as printed).

Indian Capital Market — market for long-term capital; includes (1) Government Securities (Gilt-edged market), (2) Industrial Securities Market, (3) Development financial institutions (IFCI, IDBI, ICICI, SFCs, IIBI, UTI), (4) Financial Intermediaries (Merchant banks). Trends driven by institutional-investor activity and corporate-sector results.

Share Price Indices of the World

Index	Exchange/Country
Bovespa	Brazil
Dow Jones	New York
FTSE-100	London
HANG SENG	Hong Kong
I.P.C.	Mexico
Jakarta Composite	Indonesia
KLSE Composite	Malaysia
KOSPI	Korea
MIBTel	Italy
MID DAX	Frankfurt
NASDAQ	U.S.A.
Nikkei	Tokyo
S&P	Canada
Seoul Composite	S. Korea
SHANGHAI Com	China
SET	Thailand
Straits Times Index	Singapore (SGX)/SIMEX*
TAIEN	Taiwan

*SIMEX = Singapore International Monetary Exchange (old name).

Capital market classification: Gilt-edged market (Govt/semi-govt securities, fixed interest); Industrial securities market — split into **Primary Market** (new-issue market for fresh capital via shares/debentures) and **Secondary Market** (old-issues market — stock market/exchange); Development financial institutions; Non-banking financial companies. **Unit Trust of India (UTI)** = India's biggest Mutual Fund Institution.

Stock Exchange — first organised exchange started in Bombay when the 'Native Share Brokers' Association' formed the **Bombay Stock Exchange (BSE) in 1875** — Asia's oldest stock exchange. Ahmedabad Stock Exchange started 1894 (textile-mill shares); Calcutta Stock Exchange started 1908 (plantation/jute-mill shares). Number of exchanges rose from 7 (1939) to 21 (1945). Under the Securities Contracts (Regulation) Act 1956, GOI has recognised 23 stock exchanges; with NSE's rise, regional exchanges lost relevance. BSE became a corporate entity from mid-August 2005 (previously a brokers' association); must dilute stock-broker stake to 49%. SEBI introduced rolling settlements (daily settlement) from 2 July 2001.

Credit Rating Agencies (registered intermediaries as on 13 July 2023)

CRISIL (Credit Rating Information Services of India Ltd, HQ Mumbai), ICRA (Investment Information & Credit Rating Agency, HQ New Delhi), CARE (Credit Analysis and Research Ltd, HQ Mumbai), ACUITE Ratings & Research Ltd (HQ Mumbai), BRICKWORK Ratings (HQ Bangalore), INFOMERICS Valuation and Rating (HQ New Delhi), India Ratings & Research (formerly FITCH, HQ Mumbai), SMERA Ratings (HQ Mumbai), Standard & Poor's/S&P (HQ New York), MOODY'S (HQ New York), Fitch (HQ New York). **CRISIL is India's largest credit rating agency**, market share >60% (Source: SEBI).

Regulators in India (as on 29.05.2025)

Regulator	Sector	HQ	Chairperson (as printed)
RBI	Banking & Finance, Monetary Policy	Mumbai	Sanjay Malhotra (Governor)
SEBI	Securities/Capital Market	Mumbai	Tuhin Kanta Pandey

IRDAI	Insurance	Hyderabad	Debashish Panda
PFRDA	Pension	New Delhi	Sivasubramanian Ramann
NABARD	Rural development financing	Mumbai	Shaji KV
SIDBI	MSME financing	Lucknow	Manoj Mittal
TRAI	Telecom & Cyber-Security	New Delhi	Anil Kumar Lahoti
CBFC	Film/TV certification	Mumbai	Prasoon Joshi
FSSAI	Food	Delhi	Punya Salila Srivastava
BIS	Standards & Certification	New Delhi	Pralhad Joshi (President)
BCCI	Cricket	Mumbai	Roger Binny (President)
AMFI	Stock Exchange (as printed)	Mumbai	Navneet Munot
FIEO	Export	New Delhi	S.C. Ralhan
NASSCOM	IT	New Delhi	Sindhu Gangadharan
CDSCO	Medical devices & drugs	New Delhi	Rajeev Singh Raghuvanshi
IBBI	Finance (insolvency)	New Delhi	Ravi Mital

DOUBT Chairpersons/office-holders are "as on 29.05.2025" per the source and will change — verify current incumbents before relying on this table. AMFI's "Sector" is printed as "Stock Exchange" (a likely source error, transcribed verbatim); footnote "*DCGI (Drug Controller General of India)" appears with no clearly marked row.

Share Price Indices of India

BSE SENSEX — most sensitive index of the Mumbai Stock Exchange, 30 main shares, base year 1978-79 (BSE founded 1875). **BSE 200** — 200 shares, base year 1989-90. **DOLLEX** — BSE Dollar Value Index of 200 shares, base year 1989-90. **NSE-50** — renamed **S&P CNX Nifty from 28 July 1998**; NSE launched NSE-50 in place of NSE-100 in April 1996; 50 companies; NSE founded on **Ferwani Committee's** recommendation, 1994. **CRISIL** — set up 1988, rates FD programmes/debentures/companies. **CRISIL 500** — new index introduced 18 January 1996. NSE's online trading software: **NEAT (National Exchange for Automatic Trading)**.

Ranking of India in Different Indexes (as on 25.05.2025)

1. Edelman Trust Barometer 2025 — China 1st, Indonesia 2nd, India 3rd.
2. Transparency International's Corruption Perception Index 2024 — India 96th/180 (Denmark top, South Sudan last).
3. World Economic Forum's Gender Gap Index 2024 — India 129th/146 (Iceland top, Sudan last).
4. Global Hunger Index 2024 — India 105th/127 (Somalia 127th, Yemen 126th).
5. Human Development Index 2023-24 — India 134th/193 (Switzerland top, Somalia last).
6. World Press Freedom Index 2025 — India 151st/180 (Norway top, Eritrea last).
7. Global Peace Index 2024 — India 116th/163 (Iceland top, Yemen least peaceful).
8. Global Innovation Index 2024 — India 39th/133 (Switzerland top, Angola last).
9. World Happiness Report 2025 — India 118th/147 (Finland top, Afghanistan last).

DOUBT All rankings are "as on 25.05.2025" and will change with each year's new report; do not treat as current without verification.

Household Consumption Expenditure Survey (HCES) 2023-24

(Based on 75th National Sample Survey, Aug 2023–July 2024.) Rural MPCE rose to ₹4,122 (+9.3% from ₹3,773 in 2022-23); Urban MPCE rose to ₹6,996 (+8.3% from ₹6,459); with imputed free-benefit values, MPCE = ₹4,247 (rural), ₹7,078 (urban). Urban-rural consumption gap narrowed to 69.7% (2023-24) from 71.2% (2022-23) and 83.9% (2011-12). Spending: Rural 47.04% of MPCE on food (highest: beverages/processed food 11.09%, milk products 8.44%, vegetables 6.03%); Urban 39.68% on food, higher non-food share (conveyance, clothing). Non-food dominates: 53% rural, 60% urban. Highest MPCE: Sikkim (rural ₹9,377; urban ₹13,927); Lowest: Chhattisgarh (rural ₹2,739; urban ₹4,927). Above-average spending states: Maharashtra, Punjab, Tamil Nadu, Telangana, Kerala. Below-average: West Bengal, Bihar,

UP, Madhya Pradesh. Highest rural-MPCE growth: Odisha (14%); highest urban-MPCE growth: Punjab (13%). (Source: MoSPI)

8 Lucent §11 — Money, Banking and Insurance in India

RBI established 1 April 1935, nationalised 1 January 1949. Finance Ministry issues ₹1 notes and all coins; RBI issues all other currency notes. First Indian-managed limited-liability bank: **Oudh Commercial Bank (1881); Punjab National Bank established 1894**. The 1906 Swadeshi movement spurred formation of many commercial banks. The Banking Companies Act (Feb 1949) was later amended to become the **Banking Regulation Act, 1949**.

Monetary Policy Transmission — RBI cut the repo rate by 250 bps since Feb 2019 (per the source's easing-cycle framing); transmission was weak on credit quantity but improved on rate/term structure.

"Fifth Monetary Policy of FY 2023-24" — Key Rates & Ratios (as on 8 Dec 2023)	
Repo Rate	6.50%
Standing Deposit Facility	6.25%
Marginal Standing Facility Rate	6.75%
Bank Rate	6.75%
Reverse Repo Rate	3.35%
Cash Reserve Ratio	4.50%
Statutory Liquidity Ratio	18.0%

DOUBT This rate table is dated 8 Dec 2023 and does not reflect current (Sept 2026) RBI policy rates — verify from the latest RBI monetary policy statement before using. Lucent's own text ("reverse repo always 1% less than repo"; "MSF always 1% more than repo") contradicts this very table (repo 6.50 vs reverse repo 3.35, a 3.15-point gap; MSF 6.75 is 0.25 above repo, not 1%) — internal contradiction preserved verbatim, not reconciled.

Monetary policy objectives: inflation targeting, price stability, full employment, stable growth. Directly via reserve ratios/OMOs; indirectly via key interest rates affecting credit cost. Expansionary policy = ↓ reserves/rates, ↑ liquidity, encourages activity. Contractionary/tight policy = ↓ liquidity, ↑ rates, negative impact on production/consumption/growth. (Source: ET)

Banking Ecosystem

137 scheduled commercial banks (per BHARAT 2025): Public Sector Banks (12), Private Sector Banks (21), Small Finance Banks (11), Payment Banks (6), Regional Rural Banks (43), Foreign Banks (44); plus co-operative and local area banks. Banks classified into 4 categories: (1) Commercial Banks (Public/Private Sector, RRB, Foreign), (2) Small Finance Banks, (3) Payments Banks, (4) Co-operative Banks (Urban + Rural).

No. of SC Banks (per RBI): 136 total — 12 PSBs, 21 Private, 43 RRBs, 11 SFBs, 6 Payments Banks, 44 Foreign Banks, plus 2 Local Area Banks (LABs).

DOUBT Two different total counts appear in the source itself: 137 (p.275, BHARAT 2025) vs 136 (p.276, RBI pink box) — transcribed verbatim, not reconciled.

Public Sector Banks (PSBs) — majority (>50%) government stake. April 2019: Vijaya Bank and Dena Bank merged into Bank of Baroda. 30 August 2019: FM Nirmala Sitharaman announced merger of 6 PSBs with 4 anchor banks (2 for national presence, 4 for regional focus), reducing PSB count from 27 to 12.

MUDRA Bank

MUDRA = Micro Units Development Refinance Agency; set up via statutory enactment; runs PMMY (launched 8 April 2015). Loan stages: **Shishu** (up to ₹50,000), **Kishor** (₹50,000–5 lakh), **Tarun** (up to ₹10 lakh). Proposed in Budget 2015-16 with ₹20,000 crore initial corpus and ₹3,000 crore credit guarantee fund. By August 2023: >43.09 crore loans worth ₹24.99 lakh crore sanctioned since launch; ~68% to Women Entrepreneurs, 51% to SC/ST/OBC borrowers.

List of Scheduled Public Sector Banks (as on 31 March 2025)

Anchor Bank	Estd.	Merged Bank(s)	HQ
-------------	-------	----------------	----

Bank of Baroda	1908	Dena Bank, Vijaya Bank	Vadodara
Bank of India	1906	—	Mumbai
Bank of Maharashtra	1935	—	Pune
Canara Bank	1906	Syndicate Bank	Bengaluru
Central Bank of India	1911	—	Mumbai
Indian Bank	1907	Allahabad Bank	Chennai
Indian Overseas Bank	1937	—	Chennai
Punjab and Sind Bank	1908	—	New Delhi
Punjab National Bank	1894	Oriental Bank of Commerce, United Bank of India	New Delhi
State Bank of India	1955	SB of Bikaner & Jaipur, Hyderabad, Indore, Mysore, Patiala, Saurashtra, Travancore, Bhartiya Mahila Bank	Mumbai
UCO Bank	1943	—	Kolkata
Union Bank of India	1919	Andhra Bank, Corporation Bank	Mumbai

List of Scheduled Private Sector Banks (as on 31.03.2025)

Bank	Estd.	HQ	Branches (as printed)
Axis Bank Ltd.*	1993	Mumbai/Ahmedabad	5,876
Bandhan Bank Ltd.	2015	Kolkata	1,500
Catholic Syrian (CSB) Bank Ltd.	1920	Thrissur	832
City Union Bank Ltd.	1904	Kumbakonam	875
DCB Bank Ltd.	1930	Mumbai	464
Dhanlaxmi Bank Ltd.	1927	Thrissur	261 (as on 31.03.2024)
Federal Bank Ltd.	1931	Aluva	1,518
HDFC Bank Ltd.	1994	Mumbai	9,455
ICICI Bank Ltd.	1994	Mumbai	6,742 (as on 31.12.2024)
IndusInd Bank Ltd.	1994	Mumbai	3,063
IDFC First Bank Ltd.	2015	Chennai	971
Jammu & Kashmir Bank Ltd.	1938	Srinagar	996 (as on 31.03.2024)
Karnataka Bank Ltd.	1924	Mangaluru	960
Karur Vysya Bank Ltd.	1916	Karur	840
Kotak Mahindra Bank Ltd.	2003	Mumbai	1,869 (as on 31.12.2023)
Nainital Bank Ltd.***	1922	Nainital	139
RBL Bank Ltd.	1943	Kolhapur	561
South Indian Bank Ltd.	1929	Thrissur	955
Tamilnad Mercantile Bank Ltd.	1921	Thoothukudi	572
Yes Bank Ltd.	2004	Mumbai	1,200+
IDBI Bank Ltd.	1964	Mumbai	2,000+
Lakshmi Vilas Bank Ltd.**	1926	Karur	570

*UTI Bank renamed Axis Bank Ltd. w.e.f. 31 July 2007. **LVBL merged into DBS Bank India Ltd. on 27 Nov 2020 (DBS India has 280 branches in Asia). ***Nainital Bank is an SCB with Bank of Baroda holding 98.57% shareholding.

Bank owned by a State Government: **State Bank of Sikkim** (as on 31 March 2025). RRBs: 43 in India; Foreign Banks: 44 (as on 31 March 2025). Public sector banks account for >92% of India's total banking business (SBI + associates + 11 other banks). Commercial banks mobilise urban savings for industrial/trading working-capital needs.

Oudh Commercial Bank — first complete commercial bank of India. Imperial Bank established 1921 (merger of three Presidency Banks); nationalised 1955 on recommendation of the **Gorewala Committee**, rechristened State Bank of India. In 1959, 7 regional banks nationalised as SBI Associate Banks. On 19 July 1969, 14 big banks (deposits $\geq$ ₹50 crore) nationalised; 15 April 1980, 6 more nationalised — total nationalised banks = 27 (19 + SBI + 7 SBI Associates). Before New Bank of India's 1993 merger into PNB, the count was 28. After State Bank of Saurashtra (2008) and State Bank of Indore (2010) merged into SBI, Associates fell to 5; after State Bank of Bikaner & Jaipur, Mysore, Travancore, Patiala and Hyderabad also merged (with Bhartiya Mahila Bank) w.e.f. 1 April 2017, SBI Associates became zero.

Reforms in Banking Sector

Jan-Dhan-Aadhaar-Mobile (JAM) linkage, interoperable Bank Mitras, UPI and DBTs expanded digital transactions. PSB reform agenda = **EASE (Enhanced Access & Service Excellence) Reforms** — governance, prudential lending, risk management, technology, HR outcomes. Amalgamation improved sector efficacy via economies of scale, cheaper fund-raising, stronger financial capacity, tech adoption. Amendments to the Prevention of Corruption Act 1988 protect bona-fide banking decisions from inquiry without approval, supporting prudent risk-taking. Banking Regulation (Amendment) Act 2020 strengthened co-operative bank regulation (professionalism, capital access, governance, sound banking via RBI). IBC used for large stressed-account resolution; ARC regulatory framework amended for transparency/governance. (Source: BHARAT 2025)

Digital Banking Units (DBUs) — announced in Union Budget 2022-23; 75 DBUs in 75 districts dedicated by the PM on **16 October 2022** to mark 75 years of independence (Azadi Ka Amrit Mahotsav).

UPI — indigenous digital payment system, multi-bank single-app transfers. Grew from 92 crore transactions (FY2017-18) to 13,116 crore (FY2023-24), CAGR 129%. Live internationally in UAE, Bhutan, Nepal, Singapore, Mauritius, France, Sri Lanka; RuPay card acceptance live in Nepal, Bhutan, Singapore, Mauritius, UAE. (Source: BHARAT 2025)

Scheduled/Non-Scheduled Banks, RRBs, Co-operative & Development Banks

Scheduled banks — listed in RBI Act 1934's second schedule; paid-up capital + reserves $\geq$ ₹5 lakh, RBI-satisfied depositor interest. All commercial (Indian/foreign), RRBs and state co-operative banks are scheduled. **Non-scheduled banks** — not in the second schedule; only one such bank currently exists in India.

RRBs — first established 2 October 1975; RRB Act 1976 to complement cooperative credit for rural/agri credit; ownership: GOI 50%, State Govt 15%, sponsor bank 35%; targets small/marginal farmers, agri labourers, rural artisans, small entrepreneurs. Total RRBs: 43 (DoFS). Per Economic Survey 2024-25: RRBs have 22,069 branches across 700 districts, 26 states, 3 UTs.

Co-operative Banks — organised under state Co-operative Credit Societies laws; mainly benefit agriculture/rural sector; first established 1904; two kinds — agricultural (dominant) and non-agricultural. Structure: State Co-operative Bank (apex) → Central Co-operative Banks (district) → Primary Agricultural Credit Societies (village); long-term agri credit via Land Development Banks. 1991: Narasimham Committee constituted to advise on banking-system reconstruction.

Development Banks: **IDBI** (1964) — finance to large/medium industry. **IFCI** (1948) — project finance + promotional services. **ICICI** (1955) — term loans in Indian/foreign currency, underwriting shares/debentures. **SIDBI** (1989, as printed here — vs "1990" elsewhere in the source) — assistance to small-scale industries via state finance/industrial corporations, commercial banks. **EXIM Bank** (1982) — wholly GOI-owned, finances/facilitates India's foreign trade; authorised capital raised to ₹20,000 crore; Net Worth (as on 31.12.2023) ₹22,299 crore.

Housing, Rural & International Financial Institutions

National Housing Bank (NHB) — started 1988; develops housing finance. **NABARD** — established 1982, initial capital ₹100 crore; paid-up capital ₹17,080 crore against authorised ₹30,000 crore (as on 31 March 2024); apex refinancing agency for agricultural-finance institutions.

New Development Bank (NDB) — instituted 2015 to fund infrastructure/sustainable development in emerging economies; founding members Brazil, Russia, India, China, South Africa (BRICS); USD 1 billion initial capital contribution.

Asian Infrastructure Investment Bank (AIIB) — set up 2016, Multilateral Development Bank for Asian infrastructure/sustainable development; India a founding member and **2nd-largest shareholder**; India

+ 20 other countries signed the founding MoU in Beijing.

IFAD (International Fund for Agricultural Development) — set up 1977, 13th specialised UN agency; fights rural poverty/hunger; 176 member countries in 3 lists (A: Developed, B: Oil-Producing, C: Developing); India is in List-C, a founder member, contributed US\$147.0 million.

IMF — India a founder member; 188 member nations; Board of Governors has 1 Governor + 1 Alternate Governor per country; India's Finance Minister is ex-officio Governor, RBI Governor is Alternate Governor; India's IMF constituency also includes Bangladesh, Bhutan, Sri Lanka. (Source: INDIA 2024)

World Bank — India a founder member of IBRD (189 members) which with IDA (173 members) forms the "World Bank"; IBRD serves middle-income/creditworthy low-income countries; IDA serves the poorest countries via "credits"/grants. India borrows for poverty reduction, infrastructure, disaster mitigation, rural development. (Source: INDIA 2024)

Asian Development Bank (ADB) — established 1966, India a founding member; 68 members (49 regional + 19 non-regional); HQ Manila; India held 6.32% shares (6,72,030 shares) with 5.35% voting rights (as on 31 Dec 2021); India began borrowing from ADB in 1986. (Source: ADB)

Insurance Sector

Public sector insurers: LIC, National Insurance Co. Ltd, Oriental Insurance Co. Ltd, United India Insurance Co. Ltd, New India Assurance Co. Ltd, General Insurance Corporation of India Ltd, Agriculture Insurance Company of India Ltd, Export Credit Guarantee Corporation of India Ltd. Industry growth: ~11% CAGR over 5 years; total premium ~₹10 lakh crore (FY2022-23); AUM ~₹60 lakh crore (March 2023). (Source: BHARAT 2025)

Insurance = spreading the loss of a few over many; two sectors — Life & General Insurance. Life insurance introduced by the British; **Oriental Life Insurance Company, Calcutta, 1818** (British firm).

LIC established September 1956; GIC established November 1972. Indian insurance has low rural penetration, low turnover/profitability despite high premiums. **Committee on Insurance Sector Reforms** set up 1993 under **R.N. Malhotra**, report 1994. Sector opened to private participation via the **IRDA Act, 1999**; IRDA HQ Hyderabad.

Per INDIA 2023: LIC has a Central Office (Mumbai), 8 Zonal Offices (Mumbai, Kolkata, Delhi, Chennai, Hyderabad, Kanpur, Bhopal, Patna), 113 Divisional Offices, 73 Customer Zones, 2,048 Branch Offices, 1,401 Satellite Offices, 1,240 mini offices (as on 21 Sept 2022). LIC operates internationally in 14 countries — Branch Offices in Fiji, Mauritius, UK; Joint Ventures in Bahrain, Nepal, Sri Lanka, Kenya, Saudi Arabia; wholly-owned subsidiary LIC (Singapore) established April 2012.

Post Office Financial Services & Postal/Rural Postal Life Insurance

Department of Posts runs Small Savings Schemes for the Ministry of Finance; POSB serves via 1.57 lakh post offices; operates Savings Accounts, RD, TD, MIS, PPF, NSC, KVP, SCSS, Sukanya Samriddhi Account. **PMSBY** and **PMJJBY** launched 2015 in all CBS post offices; **Atal Pension Yojana (APY)** also launched 2015; **Sukanya Samriddhi Account** launched 2015 for the girl child.

Postal Life Insurance (PLI) — introduced **1 February 1884** for postal employees, extended to telegraph-department employees in 1888. >49 lakh active policyholders by March 2023, sum assured ₹2.56 lakh crore; premium income FY2022-23 = ₹10,253.26 crore. **Rural Postal Life Insurance (RPLI)** — started 1995; >55 lakh active policyholders by March 2023, sum assured ₹1.73 lakh crore; premium income FY2022-23 = ₹3,992.72 crore. (Source: INDIA 2024)

Important Banking Terminology (Lucent glossary, full 16-term list)

1. **Bank Rate** — rate at which the central bank finances commercial banks; a short-term tool; upward revision signals banks to raise deposit/base rates too.
2. **Basis Points** — 1 percentage point = 100 basis points (e.g. 2%→3% = 100 bps rise).
3. **LRR (Legal Reserve Ratio)** = CRR + SLR. **CRR** — funds banks must keep with RBI; ↑CRR drains excess money from banks.
4. **SLR** — reserve a bank must hold as cash/gold/approved govt securities before lending; controls credit expansion, ensures solvency, controls inflation/propels growth via money-supply control.
5. **Repo Rate** — rate at which commercial banks borrow rupees from RBI; ↓repo → cheaper bank borrowing; ↑repo → costlier.
6. **Reverse Repo Rate** — rate at which RBI borrows from commercial banks; "always 1% less than the Repo Rate" (as printed — contradicted by the Dec-2023 rate table above, see DOUBT).

7. **NEFT (National Electronic Fund Transfer)** — slower than RTGS, RBI-mediated, any amount transferable (even ₹1).
8. **RTGS (Real Time Gross Settlement)** — real-time, gross-basis fund/security transfer, no waiting period; minimum ₹2 lakh, no upper limit.
9. **LAF (Liquidity Adjustment Facility)** — RBI tool for day-to-day liquidity mismatches via repo/reverse-repo operations.
10. **MSF** — overnight bank borrowing from RBI against G-Secs; "always 1% more than the Repo Rate" (as printed — see DOUBT above).
11. **NOSTRO Account** — an Indian bank's account maintained abroad.
12. **VOSTRO Account** — a foreign bank's account maintained in India with its correspondent bank.
13. **CRAR** — capital / aggregated risk-weighted assets (credit + market + operational risk).
14. **SDR (Special Drawing Rights)** — international reserve asset created by the IMF in 1967; value based on a currency portfolio; accounting entries, not physical/hard currency or gold.
15. **BOND** — publicly traded long-term debt security; issuer pays fixed interest over a period and repays principal at maturity.
16. **NPA (Non-Performing Asset)** — a loan/leased asset that stops generating income for the bank; becomes NPA after 90 days of missed interest/principal payments.

NEFT details — began operations 21 November 2005, one settlement/day, 8 participating banks initially; grew to 216 banks with half-hourly batches (8am–7pm); handles ~10.5 million transactions/day averaging ~₹80,000 crore. Processing charges waived from 1 July 2019. 24×7 NEFT from 16 December 2019 (barring a half-hour post-midnight break in some cases).

Currency, Coinage & Demonetisation

SPMCIL (Security Printing and Minting Corporation of India Ltd.) — the only PSU under the Department of Economic Affairs; formed by corporatising 9 units (4 mints, 4 presses — 2 currency-note + 2 security presses, 1 paper mill); incorporated 2006 under the Companies Act 1956; manufactures security paper, mints coins, prints currency/bank notes, non-judicial stamp papers, postage stamps, travel documents. Supplies currency/coins to RBI, stamp papers to states, postal stationery to the Postal Dept, passports/visa stickers to MEA, plus commemorative coins and MICR/non-MICR cheques. In 2010, SPMCIL formed a 50:50 JV with BRBNMPL named **Bank Note Paper Mill India Pvt Ltd (BNPMIPL)** — a greenfield bank-note paper mill, capacity 12,000 MT/year (two 6,000 MT lines). (Source: BHARAT 2025)

Demonetisation — GOI demonetised ₹500 and ₹1,000 notes on **8 November 2016**; these Mahatma Gandhi-series notes ceased legal tender from 9 November 2016; new ₹500 and ₹2,000 Mahatma Gandhi New Series notes issued in exchange; ₹100/50/20/10/5 notes remained legal tender, unaffected. Stated aims: curbing counterfeiting/terror-funding and cracking down on black money. (Source: INDIA 2021)

Appendix

A.1 — PYQ citation index

Fact tested	Exam • Date • Shift
Modern currency = fiat money, not gold-backed	SSC CGL Tier-I, 25/09/2025 (Sh-03)
Reserve Money NOT = "Savings Money"	SSC Phase XIII, 29/07/2025 (Sh-03)
Cambridge approach = Cash Balance Approach	SSC Phase XIII, 31/07/2025 (Sh-03)
Keynesian theory of demand for money = Liquidity Preference	SSC Phase XIII, 28/07/2025 (Sh-03)
Financial intermediaries transmit MPC policy (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-01)
CRR/SLR ↑ reduces (not increases) lending capacity (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Money multiplier factors (cash leakage, reserves, CRR)	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Post-1991 banking reform = prudential norms/CRAR	SSC Stenographer, 08/08/2025 (Sh-02)
Narasimham-II: merge/consolidate PSBs	SSC Stenographer, 07/08/2025 (Sh-01)
BFS established 1994, post-1991 reforms	SSC Stenographer, 06/08/2025 (Sh-03)

Bank deposits = liability; OMO; Bank Rate (statements)	SSC Stenographer, 06/08/2025 (Sh-02)
Narasimham-I: foreign banks encouraged to expand	SSC Stenographer, 06/08/2025 (Sh-02)
Bank nationalisation year = 1969	SSC Phase XIII, 29/08/2025 (Sh-01)
Banking Ombudsman Scheme first introduced 1995	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Malhotra Committee report year = 1994	SSC CHSL Tier-I, 28/11/2025 (Sh-02); 24/11/2025 (Sh-02, constituted 1993)
BCSBI set up 18 Feb 2006	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
BCSBI Code of Commitment, July 2006	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
BRBNMPL established 3 Feb 1995	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
SLR = mandatory liquid-asset (gold/G-Sec) requirement	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Expansionary monetary policy = rate cut to stimulate growth	SSC Phase XIII, 28/07/2025 (Sh-02)
Repo rate definition	SSC Stenographer, 08/08/2025 (Sh-03)
RBI Governors chronological order	SSC Stenographer, 06/08/2025 (Sh-03)
Debt monetisation = RBI buys govt bonds directly	SSC Phase XIII, 26/07/2025 (Sh-02)
RBI publishes FSR + DBIE	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
FI-Index parameters: Access, Usage	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Disinvestment = selling PSU shares	SSC CHSL Tier-I, 17/11/2025 (Sh-03)
Maharatna/Navratna/Miniratna match (SAIL/MTNL/IRCTC)	SSC Stenographer, 07/08/2025 (Sh-03)
CCIL established 2001	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
SEBI Insider Trading Regulations = 1992	SSC CHSL Tier-I, 13/11/2025 (Sh-01)
PFRDA established 2003	SSC CHSL Tier-I, 17/11/2025 (Sh-03)
SEBI underwriter regulations = 1993	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
IRDAI objective = protect policyholders	SSC Stenographer, 08/08/2025 (Sh-02)

A.2 — PYQ-book-only facts (not in Parmar/Lucent for this batch)

Board for Financial Supervision (BFS, established 1994); Banking Codes and Standards Board of India (BCSBI, set up 18 Feb 2006; Code of Commitment July 2006); Bharatiya Reserve Bank Note Mudran Pvt Ltd (BRBNMPL, established 3 Feb 1995); Clearing Corporation of India Ltd (CCIL, established 30 April 2001); Financial Inclusion Index (Access/Usage/Quality parameters); RBI's Financial Stability Report and Database on Indian Economy (DBIE); Maharatna/Navratna/Miniratna PSU examples (SAIL/MTNL/IRCTC); SEBI's Insider Trading Regulations (1992) and underwriter regulations (1993) — none of these appear in Parmar Ch.6-8 or Lucent §9/§11; sourced transparently to the PYQ book's own explanation text.

A.3 — Doubts carried forward from the raw extraction

Reverse-repo/MSF "always $\pm 1\%$ of repo" claims contradict Lucent's own Dec-2023 rate table; SIDBI's founding year is given as both 1989 and 1990 within Lucent; SCB totals are given as both 137 and 136; "12 Nationalised Banks" (pre-2019-20-merger count) is not reconciled with the current count; NABARD's paid-up-capital figure is partly faded in the source scan; all regulator/chairperson tables, PSU bank lists, branch counts, and world-ranking tables are explicitly time-stamped as of 2023-2025 dates and are not current as of today (Sept 2026) — verify before relying on any of them. All preserved per the source's own verbatim-transcription policy, not corrected.